

The Rise of Capitalism

From the 15th century, capitalism—investing and trading goods for profit—became a key force in European economies, politics, culture, and even warfare. The establishment of overseas empires, and the creation of trading centers to finance them, spurred this new wave of global commerce.

The discovery of the Americas (see pp.228–29) and the development in the 15th century of ocean-going ships capable of sailing vast distances (see pp.224–25) kick-started the modern era of capitalism. The enterprise of investing money to make money now had a global reach with potentially massive profits, simply because of the scarcity of the precious commodities—from silver to silk, porcelain to pepper—and the large distances involved. The value of goods from the East was so huge in Europe that it paid for the costs of such voyages many times over.

The return on investment might be high, but so were the risks. Ships often succumbed to storms, reefs, and pirates, with the result that all of the goods accrued over many months would be lost in an instant. Investment in ships, rigging, guns, and crew, as well as refurbishing and filling the ships with

outgoing stock, was also huge. Such undertakings tied up large sums of money for long periods, sometimes years, before any profit could be realized. In Europe, a glut of a certain commodity could depress prices. So a large number of speculators needed to be persuaded to share the risk.

Merchant capitalism

The need to secure the required investment saw the creation of joint stock companies. Investors bought into the companies—even if they had no personal links to its trading activities—by buying stocks in them on the open market. They could sell their stocks



Edward Lloyd's coffee shop

Ship owners meet at Lloyd's coffeehouse to discuss future voyages with underwriters—men who insure things against loss for a premium. This gathering developed into insurance giant Lloyd's of London.

but, crucially, could not withdraw their capital. An investor's share in the company's stock could also be sold at whatever price the buyer and seller agreed on.

The Muscovy Company was the first joint-stock enterprise established in England in 1555, but the Dutch East

India Company was the most famous.

It was chartered by the States General in 1602 and consisted of a grouping of six provincial chambers each with its own capital and share distribution of total profits. They appointed 17 general directors, the Heeren XVII, who became the central management. The Heeren XVII controlled the administration of factories and territory in the East Indies, the marketing of imported goods to Amsterdam, and how ships were to be freighted and employed.

Even the Bank of England, when it was founded by royal charter in 1694, was organized at first on joint-stock lines to raise money for what were effectively trade-based wars against France. No other joint-stock banks were permitted in Britain until 1826.

Dutch trader's manual

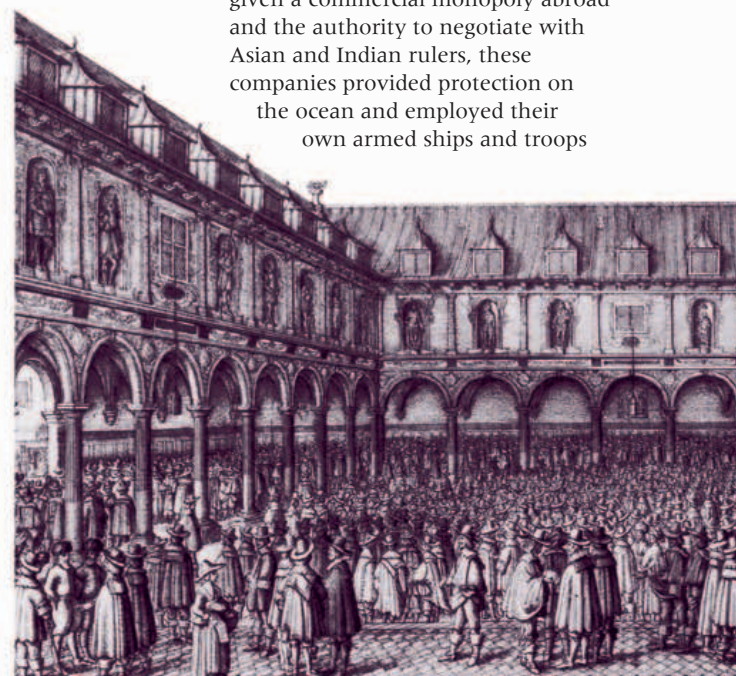
A Dutch trader's manual from the 1500s with pictures of coins, which was used to conduct business.



Other company enterprises included the United Company of Merchants of England (1600), Companhia Geral do Comércio do Brasil (1649), Compagnie de Chine (1698), the French East India Company (1723), Compagnie de Sénégal (1673), the Royal African Company (1672), the Dutch West India Company, the Hudson's Bay Company (1670), and the South Sea Company (1711)—the name of each often giving away the nature of the enterprise.

The lynchpin of capitalism

A vital innovation, the joint-stock company enjoyed a much more long-term and independent existence than other companies, as it built up its capital and a buoyant market for its shares over time. In return for being given a commercial monopoly abroad and the authority to negotiate with Asian and Indian rulers, these companies provided protection on the ocean and employed their own armed ships and troops



“... freedom of trade is based on a primitive right of Nations...”

HUGO GROTIUS, FROM “CONCERNING THE LAW OF PRIZE,” 1604

Royal exchange

As a London cloth merchant who supplied the tapestries for Henry VIII's Hampton Court, Richard Gresham had visited Antwerp's trading center. He recognized its vital trade link, and urged the establishment of a similar center in London. In 1565 his son Thomas established the Royal Exchange of London, shown here.

BEFORE

In the medieval period, the attitude of the Catholic Church to usury (money with lending interest charged) prevented capitalism from developing. The papal ban on levying interest was not repealed until the 15th century.

EUROPE'S FIRST BANKERS

In the 12th century, the Italian cities of Genoa and Venice saw the rise of **Europe's first bankers** << 208–09, with the earliest forms of bills of exchange and double-entry bookkeeping, which is the basis of modern banking and accounting systems. The Genoese had helped finance the Crusades << 200–01 and profited from lucrative trading rights and shipping contracts in the Middle East. They had also unwittingly brought the **Black Death** back to Europe << 186–87.